



EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

CANDIDATE
NAME

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CENTRE
NUMBER

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CANDIDATE
NUMBER

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ACCOUNTING

Paper 2

6896/02

October/November 2025

1 hour 45 minutes

Candidates answer on the Question Paper.

Additional material: Calculator.

READ THESE INSTRUCTIONS FIRST

Write your name, centre number and candidate number in the spaces provided.

Write in dark blue or black pen.

You may use a soft pencil for rough working.

Do **not** use staples, paper clips, highlighters, glue or correction fluid.

Do not write on the bar code.

Answer **all** questions.

Where layouts are to be completed, you may not need all the lines for your answer.

The businesses mentioned in the Question Paper are fictitious.

The number of marks is given in brackets [] at the end of each question or part question.

For Examiner's Use	
1	
2	
3	
4	
5	
Total	

This document consists of **17** printed pages and **3** blank pages.

- 1 Zitsile's business is registered for VAT. All goods are taxable at the standard rate of 15% and prices are VAT exclusive. Zitsile provided the following information in June 2025.

2025

- June 10 An invoice for E1200 was issued to Winile
 17 A credit note was issued to Winile, E200
 22 An invoice for E2500 was issued to Yenzile
 27 An invoice for E5000 was issued to Winile
 28 A credit note was issued to Yenzile, E300

REQUIRED

- (a) Record the information in Zitsile's sales journal and returns inward journal. Total the journals at 30 June 2025.

Zitsile
Sales Journal

		Net Amount	VAT	Gross Amount
		E	E	E

Zitsile
Returns Inward Journal

		Net Amount	VAT	Gross Amount
		E	E	E

[7]

- (b) Post entries from the sales journal and returns inward journal to the following ledger accounts. Balance the personal accounts and bring down the balances on 1 July 2025.

Winile account

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Yenzile account

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Sales account

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Returns Inward account

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VAT account

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..... [10]

- (c) (i) Name the division of the ledger in which the following accounts would appear in Zitsile's books.

Account	Division of the ledger
Winile	
Sales	
Returns Inward	
VAT	

[4]

- (ii) Give **two** advantages of dividing the ledger into sections.

- 1
-
- 2
- [2]

Zitsile is considering allowing a trade discount to her customers.

REQUIRED

- (d) State **two** differences between a cash discount and a trade discount.

- 1
-
-
- 2
-
- [4]

[Total: 27]

- 2 Mavi, a sole trader, owns a supermarket. Her financial year ends on 30 September. She provided the following information on 30 September 2025.

	E
Revenue	80 000
Purchases	60 000
Inventory 1 October 2024	9 450
Inventory 30 September 2025	10 660

REQUIRED

- (a) State **four** disadvantages of operating a business as a sole trader.

- 1
-
- 2
-
- 3
-
- 4
- [4]

- (b) (i) Calculate Mavi's rate of inventory turnover for the year ended 30 September 2025.

Give your answer correct to **two** decimal places.

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-
-
- [3]

- (ii) Comment on Mavi's rate of inventory turnover for the year ended 30 September 2025.

- 1
-
- 2
- [2]

Mavi's rate of inventory turnover is lower than that of the year ended 30 September 2024.

REQUIRED

- (c) (i) Complete the table by placing a tick (✓) to indicate the effect of a decrease in the rate of inventory turnover on the gross profit and on the profit for the year.

	Increase	Decrease	No effect
Effect on gross profit			
Effect on profit for the year			

[2]

- (ii) Suggest **four** possible causes of the decline in Mavi's rate of inventory turnover.

1

2

3

4 [4]

[Total: 15]

- 3 Lizwe's financial year ends on 31 July. He maintains a provision for doubtful debts of 2% of the trade receivables at the end of each financial year.

Lizwe provided the following information -

- 1 August 2024 Trade receivables owed E32 000.
- 30 June 2025 Temvelo, a credit customer, who owed E2800 was declared bankrupt. A final settlement of 20 cents for every Lilangeni owed was received and the balance was written off as irrecoverable.
- 31 July 2025 Trade receivables owed E35 700 before making adjustments for the following –
- E900 owed by Masive should be written off as irrecoverable.
- E3800 received by bank transfer from Mlandvo, a credit customer, had not been recorded.

REQUIRED

- (a) State the difference between irrecoverable debts and a provision for doubtful debts.

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..... [2]

- (b) (i) Prepare journal entries in the books of Lizwe to record:

- 1 The transaction on 30 June 2025.
- 2 The two transactions on 31 July 2025.

Narratives are **not** required.

Lizwe General Journal

[7]

- (ii) Calculate the irrecoverable debts amount to be recorded in the income statement on 31 July 2025. Show your working.

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..... [2]

- (c) (i) Calculate Lizwe's trade receivables at 31 July 2025. Show your working.

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..... [2]

- (ii) Prepare Lizwe's provision for doubtful debts account for the year ended 31 July 2025. Balance the account and bring down the balance on 1 August 2025.

Provision for Doubtful Debts account

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..... [3]

- (iii) State the amount of the provision for doubtful debts which would be recorded in the statement of financial position on 31 July 2025.

..... [1]

- (d) Prepare an extract from Lizwe's income statement for the year ended 31 July 2025 showing the entries for irrecoverable debts and provision for doubtful debts in the correct sections.

Lizwe
Income Statement (extract) for the year ended 31 July 2025

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..... [3]

- (e) Explain how Lizwe applied the prudence principle when writing off irrecoverable debts.

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..... [2]

[Total: 22]

- 4 GG Limited was formed on 1 September 2020 when 100 000, 5% redeemable preference shares of E1 each and 500 000 ordinary shares of E0.50 each were issued.

GG Limited provided the following information –

2024		E
Sept 1	Retained earnings	20 000
	General reserve	60 000
2025		
Feb 28	5% Interim ordinary dividend was paid	
Aug 31	Redeemable preference share dividend was paid	
	The directors proposed that E12 000 be transferred to the general reserve and that a final ordinary share dividend of 10% be paid	
	The profit for the year ended 31 August 2025 was E62 000.	

REQUIRED

- (a) State **two** differences between ordinary shares and debentures.

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..... [4]

- (b) (i) Calculate GG Limited's profit for the year ended 31 August 2025 **after** the payment of the dividend on the preference shares.

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..... [2]

- (ii) Complete GG Limited's statement of changes in equity for the year ended 31 August 2025.

GG Limited Statement of Changes in Equity for the year ended 31 August 2025				
	Ordinary share capital (E)	General reserve (E)	Retained earnings (E)	Total (E)
Balance on 1 September 2024	250 000	60 000	20 000	330 000
Profit for the year				
Interim dividend				
Transfer to general reserve				
Balance on 31 August 2025				

[5]

The following additional information was available at 31 August 2025.

	E
5% debentures	40 000
Trade payables	25 200
Bank	12 400 Cr
Bank loan (repayable 31 July 2028)	20 000

(c) Prepare extracts from GG Limited statement of financial position at 31 August 2025 to show the equity and reserves and non-current liabilities.

..... [4]

[Total: 15]

- 5 Sinaye is a trader. His financial year ends on 31 August. He does not maintain a full set of accounting records but was able to provide the following information on 31 August 2025.

	E
Furniture at cost	21 500
Equipment at cost	120 000
Trade receivables	22 800
Trade payables	19 200
Inventory	14 600
Bank	4 800 Cr
Loan – Abo Bank (repayable 1 November 2028)	30 000

Additional information

On 31 August 2025 Sinaye decided to depreciate the equipment by 20% on cost and to revalue his furniture at E19 100.

On 31 August 2025 rent pre-paid by Sinaye amounted to E1 800 and wages and salaries accrued amounted to E2 100.

(a) Prepare Sinaye's statement of affairs at 31 August 2025 showing the **total** capital at that date.

[8]

On 1 September 2024 Sinaye's capital was E108 000. On the same date, he introduced a personal laptop valued at E9 000 to be used in the business, and also transferred E5 000 from his personal bank account to the business account.

During the year ended 31 August 2025, Sinaye took E4 400 cash from the business for personal use. He also made drawings of goods, E4 000.

REQUIRED

- (b) Prepare Sinaye's capital account showing the profit or loss for the year ended 31 August 2025.

Sinaye Capital account

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- (c) (i) Calculate Sinaye's quick ratio correct to **two** decimal places.

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- (ii) Comment on Sinaye's quick ratio calculated in (c)(i).

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..... [2]

(iii) Suggest **two** ways in which Sinaye could improve the quick ratio.

1

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2

..... [2]

[Total: 21]

